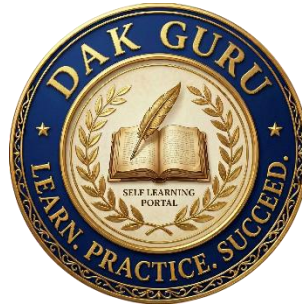




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Goods and Services Tax Act, 2017

Brief Notes — Exam Edition

(Act No. 12 of 2017)

Updated Edition — June 2026

Incorporating the Finance Act, 2026 (No. 4 of 2026) and the Finance (No. 7) Act, 2025

Prepared for LDCE PS Group 'B' Examinations

DISCLAIMER

*This booklet is a condensed study aid prepared strictly from an examination point of view. It paraphrases and summarises the provisions of the CGST Act, 2017; it is **not** a substitute for the bare Act. Every effort has been made to reflect the law in force as on 19 June 2026. Statutory provisions, effective dates and notified positions change frequently; readers must verify against the official Gazette, CBIC notifications and primary legislation before relying on any provision. Editorial notes appear in coloured boxes and flag the amending Act with its effective / notified status.*



ABOUT THIS EDITION

GST at a Glance

Goods and Services Tax is a **destination-based, multi-stage, value-added consumption tax** on the supply of goods and services. It subsumed most indirect taxes (Central Excise, Service Tax, VAT, CST, Entry Tax, etc.) and came into force on **1 July 2017** under the 101st Constitutional Amendment, which inserted Article 246A, Article 269A and Article 279A (GST Council).

The four-leg structure of GST

- **CGST** — levied by the Centre on intra-State supply (this Act).
- **SGST / UTGST** — levied by the State / Union territory on the same intra-State supply.
- **IGST** — levied by the Centre on inter-State supply and imports; broadly CGST + SGST.
- **Compensation Cess** — on select demerit / luxury goods (extended up to 31 March 2026).

THE GST 2.0 RATE STRUCTURE (w.e.f. 22 Sept 2025)

Following the **56th GST Council meeting (3 Sept 2025)**, the slabs were rationalised into a **two-tier structure** — **5% (merit)** and **18% (standard)** — by merging the erstwhile 12% and 28% slabs. A special **40%** rate applies to select sin / luxury goods. The statutory ceiling in #9(1) remains 20% CGST (40% combined). Note: these are *rate notifications*, not changes to the text of the Act.

What is new in this June 2026 edition

- **Finance Act, 2026 (No. 4 of 2026)** — enacted 30 March 2026: post-supply discount (#15 & #34), provisional refund for inverted duty structure and removal of the ₹1,000 export-refund floor (#54), and interim National Appellate Authority (#101A). Effective dates flagged section-wise.
- **Finance (No. 7) Act, 2025** — in force 1 October 2025: online money gaming, track-and-trace (#148A/#122B), #74A common demand framework, ISD changes, and the #38 / #39 return amendments.
- **Three-year filing bar** under #39(11)/#44(2)/#37/#52 — portal-enforced from 1 October 2025.

EXAM FOCUS

How to read this booklet: Each section gives a **plain-language summary** of the provision. **Blue boxes** explain key concepts, **green boxes** carry exam-focused tips and memory hooks, and **amber boxes** flag the latest amendments with their in-force status. Figures and time-limits that are frequently tested are shown in **bold**.



CHAPTER I

Preliminary (## 1–2)

1 Short title, extent and commencement

- Short title: **the Central Goods and Services Tax Act, 2017.**
- Extent: **the whole of India.**
- Commencement: on dates notified by the Central Government; different dates may be appointed for different provisions. (Most provisions: **1 July 2017.**)

2 Definitions — the high-yield ones

Over 120 terms are defined. The most frequently tested are summarised below.

MUST-KNOW DEFINITIONS

- **Aggregate turnover [2(6)]:** all-India PAN-based value of taxable + exempt supplies + exports + inter-State supplies, **excluding** taxes and inward RCM supplies.
- **Goods [2(52)]:** every kind of movable property except money & securities; includes actionable claims, growing crops, grass.
- **Services [2(102)]:** anything other than goods, money and securities; includes use of money for a separate consideration.
- **Composite supply [2(30)]:** two or more naturally bundled supplies with one principal supply (e.g. goods + insurance + freight).
- **Mixed supply [2(74)]:** two or more supplies for a single price, not naturally bundled (e.g. a gift hamper).
- **Casual taxable person [2(20)] / Non-resident taxable person [2(77)]:** occasional supply with / without a fixed place of business in India.
- **Input tax credit [2(63)]:** credit of input tax (CGST + SGST + IGST + UTGST), excluding composition tax.

LATEST AMENDMENT

Finance (No. 7) Act, 2025 (in force 1 Oct 2025) added / amended several definitions:

- **Online gaming [2(80A)] & online money gaming [2(80B)]** — brought into the tax net.
- **Specified actionable claim [2(102A)]** — betting, casinos, gambling, horse racing, lottery, online money gaming.
- **Virtual digital asset [2(117A)]** — aligned with #2(47A) of the Income-tax Act.
- **Unique identification marking [2(116A)]** — digital stamp/mark for track-and-trace.
- **Local authority [2(69)]** — “fund” inserted; “local fund” and “municipal fund” defined.



CHAPTER II

Administration (## 3–6)

3 Officers under the Act

The Government notifies classes of central-tax officers — from **Principal Chief Commissioner** down to **Assistant Commissioner**, plus any other class. Officers under the Central Excise Act, 1944 are deemed officers under this Act.

4 Appointment of officers

The Board may appoint officers in addition to those notified, and may authorise senior officers to appoint officers below the rank of Assistant Commissioner.

5 Powers of officers

- An officer exercises powers subject to Board-imposed conditions; a senior officer may exercise a subordinate's powers.
- Commissioner may delegate powers to a subordinate.
- An Appellate Authority cannot exercise the powers of any other officer (independence of appeal).

6 Cross-empowerment of SGST / UTGST officers

SGST / UTGST officers are proper officers for CGST (and vice versa), subject to conditions. Key safeguard: **once one tax authority initiates proceedings on a subject matter, the other shall not initiate on the same subject matter** (no double jeopardy).



CHAPTER III

Levy and Collection of Tax (§§ 7–11A)

7 Scope of supply

“Supply” is the taxable event. It includes:

- (a) all forms of supply — sale, transfer, barter, exchange, licence, rental, lease, disposal — **for a consideration in the course / furtherance of business**;
- (aa) activities of a club/association to its members for consideration (members and the body deemed two persons);
- (b) import of services for a consideration, **whether or not** in the course of business;
- (c) activities in **Schedule I** made **without** consideration.

#7(1A): once an activity is a supply, **Schedule II** decides whether it is a supply of goods or services. #7(2): **Schedule III** activities are neither supply of goods nor services.

EXAM FOCUS

Schedule memory hook: **I** = deemed supply without consideration; **II** = goods-or-services classifier; **III** = “negative list” (e.g. employee-to-employer services, sale of land, court services, funeral services, actionable claims other than specified ones).

8 Composite & mixed supply — tax treatment

- **Composite supply** → taxed at the rate of the **principal supply**.
- **Mixed supply** → taxed at the rate of the supply attracting the **highest rate**.

9 Levy and collection (the charging section)

- CGST is levied on all intra-State supplies on the value under #15, at rates notified by Government, **not exceeding 20%**; payable by the taxable person.
- **Excluded:** alcoholic liquor for human consumption, and un-denatured extra neutral alcohol / rectified spirit for such liquor.
- **#9(2):** petroleum crude, HSD, petrol, natural gas and ATF — taxed from a date to be notified (currently outside GST).
- **#9(3):** reverse charge on notified goods/services.
- **#9(4):** reverse charge on supplies from unregistered to notified registered persons.
- **#9(5):** Government may make the e-commerce operator liable to pay tax on notified services supplied through it.



10 Composition levy

COMPOSITION SCHEME – THRESHOLDS & RATES

- **Eligibility [10(1)]:** preceding-FY aggregate turnover up to **₹1.5 crore** (₹75 lakh for specified special-category States).
- **Rates:** manufacturers **1%**; restaurants (non-alcohol) **5%** (2.5% CGST + 2.5% SGST); other suppliers **1%** (0.5% CGST + 0.5% SGST).
- **Service providers [10(2A)]:** turnover up to **₹50 lakh** → **6%** (3% CGST + 3% SGST).
- **Bars:** no inter-State outward supply; no supply through TCS e-commerce operator; no manufacture of notified goods (e.g. ice-cream, pan masala, tobacco, aerated water); not a CTP/NRTP.
- **Composition dealer cannot collect tax or claim ITC.**

11 Power to grant exemption

Government may exempt goods/services — **absolutely or conditionally** — by notification (general) or by special order (exceptional cases). Where exemption is **absolute**, the supplier **must not** collect tax in excess of the effective rate. Clarificatory explanations may be inserted within **one year**.

11A Power not to recover GST due to general practice

LATEST AMENDMENT

Inserted by Finance (No. 2) Act, 2024. Where tax was not levied or short-levied because of a **generally prevalent trade practice**, Government may, on the Council's recommendation, direct by notification that such tax need not be paid. This regularises past industry-wide non-levy positions.



CHAPTER IV

Time and Value of Supply (## 12–15)

12 Time of supply of goods

- **Forward charge:** earlier of (a) date of invoice / last date to issue invoice under #31, or (b) date of receipt of payment.
- **Reverse charge:** earliest of (a) date of receipt of goods, (b) date of payment, or (c) **31st day** from the date of the supplier's invoice.
- **Excess up to ₹1,000** over invoice — supplier may opt for date of invoice for the excess.

LATEST AMENDMENT

Finance (No. 7) Act, 2025: #12(4) — the special time-of-supply rule for **vouchers** — has been **omitted (w.e.f. 1 Oct 2025)**, removing ambiguity over voucher taxability.

13 Time of supply of services

- **Forward charge:** if invoice issued within the #31 period → earlier of invoice date or payment date; if not → earlier of date of provision of service or payment date; else date the recipient records receipt.
- **Reverse charge:** earlier of (a) date of payment, or (b) **61st day** from the supplier's invoice. #13(4) on vouchers also omitted w.e.f. 1 Oct 2025.

14 Change in rate of tax

Where the tax rate changes, the applicable rate is determined by the timing of **two of three events** — supply, invoice and payment — relative to the rate-change date. The rule fixes time of supply as the date of the two events that fall on the same side of the change.

15 Value of taxable supply

- **Value = transaction value** — the price actually paid/payable, where supplier and recipient are unrelated and price is the sole consideration.

Inclusions [#15(2)]

- Non-GST taxes, duties, cesses, fees (if charged separately); amounts the supplier is liable to pay but borne by recipient; incidental expenses (commission, packing); interest/late fee/penalty for delay; subsidies linked to price (excluding Government subsidies).

Discounts [#15(3)]

- **Pre-supply discount** recorded in the invoice — excluded.

**LATEST AMENDMENT**

Post-supply discount — amended by Finance Act, 2026 (#15(3)(b)). The earlier requirement to establish the discount through a *pre-existing agreement linked to specific invoices* is **removed**. A post-supply discount is now allowed as a deduction if it is given through a **credit note under #34** and the **recipient reverses the proportionate ITC**.

Status: enacted on 30 March 2026; comes into force **from a date to be notified**. Circular No. 212/6/2024-GST stands rescinded. Until notified, verify the operative date before applying in practice.

#15(4)–(5): where transaction value is not determinable, value is fixed by the Valuation Rules; Government may notify supplies to be valued in a prescribed manner.



CHAPTER V

Input Tax Credit (## 16–21)

16 Eligibility and conditions for ITC

FOUR CONDITIONS FOR ITC [#16(2)]

- (a) possession of a tax invoice / debit note;
 - (aa) the invoice/debit note is furnished by the supplier and communicated to the recipient (GSTR-2B);
 - (ba) the ITC is not restricted in the #38 auto-communicated statement;
 - (b) the recipient has received the goods/services;
 - (c) tax has actually been paid to the Government by the supplier;
 - (d) the recipient has furnished the return under #39.
- **2nd proviso:** if the recipient fails to pay the supplier (value + tax) within **180 days** of the invoice, the ITC is added to output liability with interest (re-availed on payment).
 - **No depreciation + ITC** on the tax component of capital goods (can't claim both).
 - **Time limit [#16(4)]:** ITC for an FY by **30 November** following the end of that FY, or the date of the annual return, whichever is earlier.

LATEST AMENDMENT

Retrospective relief — #16(5) & #16(6) (Finance (No. 2) Act, 2024). #16(5): for FYs 2017-18 to 2020-21, ITC could be claimed up to **30 Nov 2021**. #16(6): special re-availing window where a cancelled registration is revoked. These ease the strict #16(4) deadline for early years.

17 Apportionment of credit & blocked credits

- **Apportionment:** where inputs are used partly for business/taxable and partly for non-business/exempt, ITC is restricted to the business/taxable portion.
- **Banks / NBFCs:** option to reverse **50%** of eligible ITC each month.

EXAM FOCUS

Blocked credits [#17(5)] — frequently tested. ITC is NOT available on, inter alia: motor vehicles for transport of persons (seating ≤ 13, with exceptions); food & beverages, outdoor catering, beauty, health, cosmetic surgery (unless used for an outward taxable supply of the same category); membership of clubs, health & fitness centres; rent-a-cab, life & health insurance (except where obligatory); travel benefits to employees on leave; works contract & construction of immovable property on own account (other than plant & machinery); goods/services for personal consumption;



goods lost, stolen, destroyed, written off, or given as gifts / free samples; and tax paid under #74 (for periods up to FY 2023-24), #129 and #130.

18 ITC in special circumstances

- Available on stock when a person takes **new registration, voluntary registration**, exits composition, or an exempt supply becomes taxable.
- On switching to composition / supplies becoming exempt — pay an amount equal to ITC on stock & capital goods.
- On sale of capital goods — pay the higher of ITC reduced by prescribed percentage points or tax on transaction value.

19 ITC on inputs/capital goods sent for job work

- Principal can take ITC even if goods are sent directly to the job worker. Inputs must return within **1 year** and capital goods within **3 years** (not applicable to moulds, dies, jigs, fixtures, tools), else deemed supply.

20 Input Service Distributor (ISD)

LATEST AMENDMENT

ISD is now mandatory. With effect from **1 April 2025** (Finance Act, 2024), distribution of common input-service credit (including RCM services) among distinct persons **must** be done through the ISD mechanism. #20 prescribes the manner of distribution; the cross-charge route is no longer optional for such credit.

21 Recovery of excess credit distributed

Credit distributed by an ISD in excess or in contravention of #20 is recovered from the recipient with interest, as if it were an erroneous refund.



CHAPTER VI

Registration (## 22–30)

22 Persons liable to register

REGISTRATION THRESHOLDS

- **Goods:** aggregate turnover above ₹40 lakh (₹20 lakh for specified special-category States).
- **Services:** aggregate turnover above ₹20 lakh (₹10 lakh for specified special-category States).
- Registration is **State-wise / UT-wise**; liability arises in every State from which a taxable supply is made.

23 Persons not liable to register

- Persons supplying **wholly exempt / non-taxable** goods or services; agriculturists (to the extent of produce from land); and categories notified by Government.

24 Compulsory registration (threshold irrelevant)

- Inter-State taxable suppliers (with relaxation for service providers and notified handicraft suppliers); casual & non-resident taxable persons; persons liable under **reverse charge**; e-commerce operators required to collect TCS and persons supplying through them (with exceptions); ISD; persons deducting TDS; agents; and OIDAR suppliers.

25 Procedure for registration

- Apply within **30 days** of becoming liable (CTP/NRTP: at least **5 days** before commencing business).
- PAN, mobile and email are mandatory; **Aadhaar authentication** is generally required (failing which, physical verification).
- Multiple registrations allowed per State for distinct places of business; separate registration for SEZ units.
- A **Unique Identity Number (UIN)** is granted to UN bodies, embassies, etc.

26 Deemed registration

Grant of registration / UIN under SGST or UTGST is deemed grant under CGST (and vice versa), unless rejected within the prescribed time.



27 CTP & NRTP — special provisions

- Certificate valid for the period specified or **90 days** (extendable by a further **90 days**), whichever is earlier; **advance deposit of estimated tax** required.

28 Amendment of registration

Changes in particulars must be informed within **15 days**; core-field amendments need approval, non-core fields are auto-amended.

29 Cancellation or suspension

- By the officer or on application — for discontinuance, transfer, change of constitution, no longer liable, contravention, non-filing (composition: **3 consecutive tax periods**; others: continuous **6 months**), or non-commencement within 6 months of voluntary registration.
- Registration may be **suspended** during cancellation proceedings. Cancellation does not extinguish past liability.

30 Revocation of cancellation

Where registration is cancelled by the officer on his own motion, the person may apply for revocation within **30 days** of the cancellation order (extendable by the prescribed authorities).



CHAPTER VII

Tax Invoice, Credit & Debit Notes (## 31–34)

31 Tax invoice

- **Goods:** invoice **before or at the time of removal / delivery**.
- **Services:** invoice within **30 days** of supply (45 days for banks / insurers / NBFCs).
- Composition / exempt supplies — a **bill of supply** instead of a tax invoice. Receipt voucher for advances; payment voucher for RCM.

31A Facility of digital payment to recipient

Notified suppliers must provide the recipient a prescribed mode of **electronic payment**.

32 Prohibition of unauthorised collection

An unregistered person, or a registered person in breach, **cannot collect tax**; collection must be only in accordance with the Act.

33 Tax amount to be shown in the invoice

The tax amount forming part of the price must be **prominently indicated** in all invoices and documents.

34 Credit & debit notes

- **Credit note** — issued by the supplier where the taxable value / tax in the invoice **exceeds** the correct amount, goods are returned, or supplies are deficient.
- **Debit note** — issued where the taxable value / tax in the invoice is **less than** the correct amount.
- **Time limit for credit notes:** declare by **30 November** following the FY of supply, or the date of the annual return, whichever is earlier. (No time limit on debit notes.)

LATEST AMENDMENT

Two recent changes to #34:

1. **Finance (No. 7) Act, 2025 (in force 1 Oct 2025):** the proviso to #34(2) now expressly bars reduction of the supplier's output liability **unless the registered recipient reverses the corresponding ITC** (or, in other cases, the tax incidence has not been passed on).
2. **Finance Act, 2026 (date to be notified):** #34(1) is amended to expressly include the **post-supply discount under #15(3)(b)** as a ground for issuing a credit note, dovetailing with the #15 amendment above.



CHAPTER VIII

Accounts and Records (## 35–36)

35 Accounts and other records

- Every registered person keeps, at the principal place of business, true & correct accounts of production, inward & outward supplies, stock, ITC, output tax and other prescribed records.
- Failure to account for goods — the officer may determine tax as if they were supplied.

36 Period of retention

Records to be retained for **72 months (6 years)** from the due date of the annual return for the year. Where a matter is under appeal / investigation, retain for **1 year after final disposal** or 6 years, whichever is later.



CHAPTER IX

Returns (## 37–48)

37 Furnishing details of outward supplies (GSTR-1)

- Outward-supply details to be furnished by the prescribed date.
- **Three-year bar:** GSTR-1 for a tax period **cannot be furnished after 3 years** from its due date (portal-enforced from 1 Oct 2025).

38 Communication of inward supplies & ITC (GSTR-2B)

LATEST AMENDMENT

Finance (No. 7) Act, 2025 (in force 1 Oct 2025): #38(1) now refers to “a statement” of ITC rather than an “*auto-generated statement*”, reflecting the **Invoice Management System (IMS)** — where the recipient's acceptance / rejection of records shapes GSTR-2B. A residuary clause “such other details as may be prescribed” was added.

The statement separates ITC that **may be availed** from ITC that **cannot be availed** (e.g. supplier newly registered, defaulted in payment, output tax exceeds tax paid, excess ITC availed).

39 Furnishing of returns (GSTR-3B etc.)

RETURN DUE DATES — QUICK TABLE

- **Normal taxpayer (monthly GSTR-3B):** 20th of the next month.
- **QRMP scheme (quarterly):** 22nd / 24th of the month after the quarter (State-wise).
- **Composition (GSTR-4, annual):** by 30 June after the FY (statement CMP-08 quarterly by the 18th).
- **Non-resident taxable person:** within **13 days** after the month / 7 days after registration ends, whichever earlier.
- **TDS deductor (GSTR-7):** within **10 days** after the month. **ISD (GSTR-6):** 13th.

LATEST AMENDMENT

#39(11) — the three-year filing bar. Inserted by the Finance Act, 2023 (in force 1 Oct 2023; portal-enforced from 1 Oct 2025): a return for a tax period **cannot be furnished after the expiry of 3 years from its due date**. The same 3-year bar applies to #37 (GSTR-1), #44(2) (annual return) and #52 (TCS statement). Finance (No. 7) Act, 2025 also amended #39(1) to allow *conditions and restrictions* on filing.



40 First return

Covers outward supplies from the date of liability to registration up to the date registration is granted.

41 Availment of input tax credit

Self-assessed ITC is credited provisionally to the electronic credit ledger; ITC corresponding to tax not paid by the supplier must be **reversed with interest** and may be re-availed when the supplier pays.

44 Annual return (GSTR-9 / 9C)

- Filed by every registered person (with exceptions) — may include a **self-certified reconciliation statement (GSTR-9C)**.
- Departments audited by the C&AG are exempt. Turnover up to ₹2 crore exempt from GSTR-9 (FY 2024-25 onward, by notification).
- #44(2): annual return **cannot be filed after 3 years** from its due date.

45 Final return (GSTR-10)

On cancellation of registration, file the final return within **3 months** of the date of cancellation / order, whichever is later.

46–47 Notice to defaulters & late fee

- #46: a **15-day** notice is issued to a return defaulter before best-judgment assessment under #62.
- #47: late fee of **₹100 per day** (CGST) subject to caps; for the annual return, capped at **0.25%** of turnover in the State/UT. (Lower caps notified for small taxpayers.)

48 GST practitioners

A registered person may authorise an approved GST practitioner to furnish returns and undertake other prescribed activities; responsibility for correctness remains with the registered person.



CHAPTER X

Payment of Tax (## 49–53A)

49 Payment of tax, interest, penalty

THE THREE ELECTRONIC LEDGERS

- **Electronic cash ledger:** deposits via challan; used for tax, interest, penalty, fee.
- **Electronic credit ledger:** ITC; used **only for tax** (not interest/penalty/fee).
- **Electronic liability register:** all liabilities of the registered person.

- Cross-utilisation order is governed by #49A / #49B and Rule 88A.

49A / 49B Order of utilisation of ITC

IGST credit must be **fully utilised first**; only then may CGST / SGST credit be used. IGST credit is set off against IGST, then CGST / SGST in any order (per Rule 88A), with the restriction that CGST credit cannot pay SGST and vice versa.

50 Interest on delayed payment

- **Delayed payment of tax:** 18% p.a.
- **Undue / excess claim of ITC or reduction of output tax:** 24% p.a.
- Interest on delayed filing is charged on the **net cash liability** (proviso to #50(1)); no interest on ITC merely availed but not utilised [#50(3)].

51 Tax deduction at source (TDS)

Notified deductors (Government departments, local authorities, PSUs, etc.) deduct **2%** (1% CGST + 1% SGST) where the value of a taxable supply under a contract exceeds **₹2.5 lakh**; deposit by the **10th** of the next month (GSTR-7).

52 Tax collection at source (TCS)

- E-commerce operators collect TCS on the net value of taxable supplies made through them — **0.5%** (0.25% CGST + 0.25% SGST).
- Monthly statement; **annual statement** subject to the same 3-year bar.

53 / 53A Transfer of ITC / certain amounts

Provides for transfer between the Centre and States of amounts on account of cross-utilisation of IGST/CGST/SGST credit and of certain amounts, on the GST Council's recommendation.



CHAPTER XI

Refunds (## 54–58)

54 Refund of tax

- Application within **2 years** from the relevant date (the relevant date differs by situation — export, deemed export, excess balance, etc.).
- Refund of **unutilised ITC** is allowed only for (a) zero-rated supplies without payment of tax, and (b) **inverted duty structure** (input rate higher than output rate).
- Order within **60 days** of a complete application. For claims up to **₹2 lakh**, a self-declaration suffices (no documentary proof of non-passing of incidence).
- **Unjust enrichment**: refund otherwise goes to the **Consumer Welfare Fund**, unless the claimant proves the incidence was not passed on (exports, zero-rated and a few categories are exempt from this test).

LATEST AMENDMENT

Two changes by Finance Act, 2026 (date to be notified):

#54(6) — provisional refund: the facility of **90% provisional refund**, earlier available only for zero-rated supplies, is **extended to inverted-duty-structure** cases (on a risk-based basis). CBIC had already begun administrative implementation pending the amendment.

#54(14) — export-refund floor: the **₹1,000 minimum-refund threshold** will **not apply** to refunds of IGST paid on the **export of goods**, helping small exporters (courier / postal mode).

55 Refund in certain cases

UN bodies, embassies, notified agencies and persons holding a UIN may claim refund of tax paid on their inward supplies.

56 Interest on delayed refunds

If refund is not paid within **60 days** of application, interest at **6% p.a.** is payable; where refund arises from an appellate/court order and is delayed, the rate is **9% p.a.**

57–58 Consumer Welfare Fund

Amounts not refundable due to unjust enrichment are credited to the **Consumer Welfare Fund**, utilised for consumer welfare in the prescribed manner.



CHAPTER XII

Assessment (## 59–64)

59 Self-assessment

Every registered person **self-assesses** the tax payable and furnishes the return — the foundation of GST.

60 Provisional assessment

Where value or rate cannot be determined, the person may request provisional assessment; the officer passes a final order within **6 months** (extendable). Differential tax carries interest.

61 Scrutiny of returns

The officer may scrutinise a return, seek explanation, and — if not satisfied — initiate action under #65, #66, #67 or #73/#74/#74A.

62 Assessment of non-filers (best judgment)

On failure to file even after a #46 notice, the officer makes a **best-judgment assessment**. It is **withdrawn** if a valid return is filed within **60 days** of the order (extendable to 60 more days with late fee/interest).

63 Assessment of unregistered persons

Best-judgment assessment of a person liable but not registered, after notice; order within **5 years** of the due date of the annual return for the year.

64 Summary assessment

In cases needing urgency to protect revenue, with prior permission of the Additional / Joint Commissioner. The taxable person may apply for withdrawal within **30 days**.



CHAPTER XIII

Audit (## 65–66)

65 Audit by tax authorities

- The Commissioner / authorised officer may audit a registered person; **15 days'** prior notice. Audit completed within **3 months** (extendable by 6 months).
- Findings communicated in **Form GST ADT-02**; detected dues are pursued under #73 / #74 / #74A.

66 Special audit

Where the officer (with the Commissioner's approval) considers the value/credit to be incorrectly declared, he may direct a **special audit by a Chartered / Cost Accountant** nominated by the Commissioner; report within **90 days**. The **expenses are borne by the Commissioner**.



CHAPTER XIV

Inspection, Search, Seizure and Arrest (## 67–72)

67 Power of inspection, search and seizure

- An officer not below **Joint Commissioner** may authorise inspection / search where there is **reason to believe** tax evasion or contravention.
- Seized goods/documents may be released provisionally on bond & security; goods of perishable / hazardous nature may be disposed of.

68 Inspection of goods in movement (E-way bill)

The person in charge of a conveyance carries the prescribed documents and **e-way bill**; officers may intercept and verify in transit.

69 Power to arrest

ARREST — THE THRESHOLD [#69 r/w #132]

- The Commissioner may authorise arrest where a person has committed a **cognizable & non-bailable** offence under #132(1)(a)–(d) and the tax evaded / ITC wrongly availed exceeds **₹5 crore**.
- Below ₹5 crore (and the #132(1)(e)–(l) offences) are generally **non-cognizable & bailable**.

70 Power to summon

Officers may summon any person to give evidence or produce documents; such inquiries are **judicial proceedings** under the IPC / BNS.

71–72 Access to premises & assistance

#71: access to business premises for inspection of records. #72: other officers (police, railways, customs, banks, etc.) are bound to assist GST officers.



CHAPTER XV

Demands and Recovery (## 73–84)

LATEST AMENDMENT

Major structural change — the #74A common framework. Finance (No. 7) Act, 2025 (in force 1 Oct 2025) inserted #74A to create a **single, unified demand framework from FY 2024-25 onward**, merging the earlier #73 (non-fraud) and #74 (fraud) timelines into one. #73 and #74 now apply only to periods **up to FY 2023-24**.

73 Demand — non-fraud (up to FY 2023-24)

- For tax not paid / short paid / wrongly refunded / ITC wrongly availed **without** fraud or wilful misstatement.
- **SCN:** at least **3 months** before the time limit. Order within **3 years** of the due date of the annual return.
- **Reduced/Nil penalty for voluntary payment:** nil if paid before SCN; 10% (or ₹10,000, higher) if paid within 30 days of the order.

74 Demand — fraud (up to FY 2023-24)

- For evasion **with** fraud / wilful misstatement / suppression.
- **SCN:** at least **6 months** before the limit. Order within **5 years** of the due date of the annual return.
- **Penalty 100%;** reduced to 15% (before SCN), 25% (within 30 days of SCN), or 50% (within 30 days of order).

74A Common demand framework (from FY 2024-25)

#74A AT A GLANCE

- **Applies to FY 2024-25 onward, regardless** of fraud / non-fraud.
- **Order time-limit: 12 months** from the due date of issue of the order (extendable by 6 months).
- **Threshold:** no SCN where the amount is less than **₹1,000**.
- **Penalty:** 10% (non-fraud) or 100% (fraud); graded reductions for early payment retained.



75 General provisions on determination

Covers limitation exclusions during stays, the bar on travelling beyond the SCN, the **3-opportunity** personal-hearing rule, and the deeming of #73/#74 conclusion where appellate proceedings end.

76–78 Collected-but-not-paid; wrongly collected; recovery start

- #76: any tax **collected** must be paid to Government, irrespective of whether the supply was taxable.
- #77: tax paid as intra-State but later held inter-State (or vice versa) — **no interest**; refund of the wrong tax on payment of the correct one.
- #78: recovery proceedings begin **3 months** after the order (sooner if revenue interest requires).

79 Modes of recovery

Deduction from refunds; sale of detained goods; **garnishee** (recovery from third parties / banks); detention & sale of property; recovery as land revenue; and through the District Collector / Magistrate.

80–84 Instalments; void transfers; first charge; attachment

- #80: Commissioner may allow payment in **up to 24 monthly instalments** (not for self-assessed liability).
- #81: transfer of property to defraud revenue is **void**.
- #82: GST dues are a **first charge** on property (subject to the IBC).
- #83: provisional attachment to protect revenue, valid for **1 year**.



CHAPTER XVI

Liability to Pay in Certain Cases (## 85–94)

85–86 Transfer of business; agent & principal

- **#85:** on transfer of business, transferor and transferee are **jointly and severally liable** for dues up to the transfer.
- **#86:** an agent and principal are jointly and severally liable for tax on goods supplied through the agent.

87–89 Amalgamation; liquidation; directors

- **#87:** supplies between companies amalgamated by court order are taxed up to the order date (companies treated as distinct till then).
- **#88:** a liquidator must notify appointment; the company's dues become a liability to be met.
- **#89:** directors of a private company are jointly & severally liable where dues cannot be recovered from the company, unless non-recovery is not attributable to their neglect.

90–94 Partners, guardians, HUF, etc.

Partners are jointly & severally liable (#90); guardians/trustees managing a business are liable (#91); Court of Wards (#92); liability on death, partition of HUF, dissolution of firm, and discontinuance of AOP/business (#93–94).



CHAPTER XVII

Advance Ruling (## 95–106)

95–98 AAR — scope & procedure

- An applicant may seek a ruling on classification, applicability of a notification, time/value of supply, ITC admissibility, liability to register, and whether a particular activity is a supply.
- The AAR decides within **90 days**; an application is rejected if the question is already pending/decided in the applicant's case.

99–101 Appellate Authority (AAAR)

Appeal to the AAAR within **30 days** (extendable by 30 days). Where AAAR members differ, **no ruling is deemed issued** on that question.

101A–101C National Appellate Authority for Advance Ruling

LATEST AMENDMENT

In force — Finance Act, 2026, #101A(1A) (w.e.f. 1 April 2026). Because the full National Appellate Authority (NAAAR) had not been constituted, a new **#101A(1A)** now empowers the Central Government, on the Council's recommendation, to **notify an existing authority (including a Tribunal) to act as the interim NAAAR**.

Operationalised: by notification dated 7 May 2026 (with a corrigendum on the notification number), the **Principal Bench of the GST Appellate Tribunal (GSTAT)** has been empowered to function as the NAAAR — giving taxpayers a single forum to resolve conflicting State AAAR rulings. In such cases #101A(2)–(13) do not apply.

#101B: appeal to the NAAAR by an officer or applicant where there are **conflicting rulings** of two or more State AAARs (fee ₹10,000; order in 90 days). #101C: the ruling binds all applicants and officers.

103–106 Binding effect & validity

A ruling binds **only the applicant and the jurisdictional officer**, and remains valid unless the law, facts or circumstances change; it is void if obtained by fraud or suppression (#104).



CHAPTER XVIII

Appeals and Revision (## 107–121)

107 Appeals to the Appellate Authority

FIRST APPEAL [#107] — KEY NUMBERS

- **Time limit:** within **3 months** of the order (department: 6 months), extendable by **1 month**.
- **Pre-deposit:** full admitted amount + **10%** of the disputed tax (capped — see note).
- Order ideally within **1 year** where possible.

LATEST AMENDMENT

Pre-deposit caps reduced. The maximum pre-deposit for the first appeal is **₹20 crore each of CGST + SGST**. For the Tribunal, the pre-deposit was reduced to **10%** of the disputed tax (capped at ₹20 crore each), effective from 1 Nov 2024. A separate **10%** pre-deposit applies to appeals involving only a penalty (no tax).

108 Revisional Authority

The Revisional Authority may, on its own motion, revise an order it considers **erroneous and prejudicial to revenue**, subject to limitation and safeguards.

109–114 GST Appellate Tribunal (GSTAT)

LATEST AMENDMENT

GSTAT is now operational. The **Principal Bench (New Delhi)** and State Benches have been constituted. Following the 56th Council meeting, GSTAT began **accepting appeals (from Sept 2025)** and commenced hearings; the limitation date for filing **backlog appeals is 30 June 2026**. The Principal Bench also serves as the National Appellate Authority for Advance Ruling (see #101A above).

Each Bench has Judicial and Technical (Centre & State) Members. The **monetary limit for a single-member bench** and the President's administrative powers are prescribed.

112 Appeals to the Tribunal

Appeal within **3 months** of the communication of the first-appeal/revision order (the period runs from a date to be notified for older orders). Pre-deposit as in the amber note above.

117–118 Appeals to High Court & Supreme Court

- **#117:** appeal to the **High Court** on a **substantial question of law**, within 180 days.



- **#118:** appeal to the **Supreme Court** from a High Court / Principal-Bench order.

119–121 Appeal safeguards

Sums due are payable notwithstanding appeal unless stayed (#119); the Board may fix monetary limits below which the department will not appeal (#120); and certain decisions are **non-appealable** (#121).



CHAPTER XIX

Offences and Penalties (## 122–138)

122 Penalty for certain offences

- 21 listed offences (e.g. supply without invoice, invoice without supply, collecting but not depositing tax, fraudulent ITC) attract a penalty of **₹10,000 or the tax involved, whichever is higher**.
- **#122(1A)**: the person who **retains the benefit** of certain offences and at whose instance they are committed is also liable to an equal penalty.

122A / 122B Track-and-trace penalties

LATEST AMENDMENT

New penalties — Finance (No. 7) Act, 2025 (in force 1 Oct 2025). #122A: penalty for failure to **register notified machines** used in manufacture of specified goods (e.g. pan masala, tobacco). #122B: penalty for **contravening the #148A track-and-trace mechanism** — ₹1 lakh or 10% of the tax payable on such goods, whichever is higher.

123–127 Other penalties

- **#123**: failure to furnish an information return; **#125**: **general penalty up to ₹25,000**; **#126**: principles for imposing penalty (no penalty for minor / clerical breaches); **#127**: penalty in cases not covered by #73/#74/#74A/#129/#130.

128 / 128A Waiver of penalty / amnesty

LATEST AMENDMENT

#128A amnesty (Finance (No. 2) Act, 2024). Conditional waiver of **interest and penalty** for #73 demands (non-fraud) for **FY 2017-18, 2018-19 and 2019-20**, provided the **full tax was paid by 31 March 2025** and the application (SPL-01/SPL-02) filed by 30 June 2025. The amount payable is computed after deducting any benefit under #16(5)/#16(6). No refund of interest/penalty already paid.

129–130 Detention, seizure & confiscation

- **#129**: goods in transit in contravention may be detained/seized; release on payment of **penalty (200% of tax, or 2% of value / ₹25,000 for exempt goods)**. #129 is a **self-contained code** delinked from #73/#74.
- **#130**: confiscation of goods/conveyance and penalty for specified evasion, with an option to pay a **redemption fine**.



132 Punishment for offences (prosecution)

PROSECUTION THRESHOLDS [#132]

- **Tax evaded > ₹5 crore:** up to 5 years + fine; cognizable & non-bailable.
- **₹2–5 crore:** up to 3 years + fine.
- **₹1–2 crore:** up to 1 year + fine.
- **Note:** Finance Act, 2023 **decriminalised** certain offences and raised the prosecution threshold (except fake-invoice offences).

138 Compounding of offences

Offences may be compounded (before or after prosecution) on payment of the compounding amount — revised by Finance Act, 2023 to **25% to 100% of the tax involved**. Fake-invoice offences under #132(1)(b)/(c) (beyond a threshold) are **not compoundable**.



CHAPTER XX

Transitional Provisions & Job Work (## 139–145)

139–142 Transitional credit & arrangements

Provided for migration of existing registrants, carry-forward of **CENVAT / VAT credit** (via TRAN-1/TRAN-2), credit on stock, and treatment of goods-in-transit and pending claims at the GST switchover. Largely spent, but the litigation on transitional credit timelines remains relevant.

143 Job work procedure

A principal may send inputs/capital goods to a job worker **without payment of tax**; inputs must return within **1 year** and capital goods within **3 years** (except moulds, dies, jigs, fixtures, tools), failing which it is deemed a supply on the date sent.

144–145 Presumptions as to documents

Documents seized are presumed to be true; micro-films, facsimiles and computer printouts are admissible as evidence.



CHAPTER XXI

Miscellaneous (## 146–174)

146–148A Portal, deemed exports, special procedures, track-and-trace

- #146: the **common GST portal** (GSTN) is notified for registration, returns, payment, etc.
- #147: notified supplies treated as **deemed exports** (e.g. supplies to EOUs, against Advance Authorisation).

LATEST AMENDMENT

#148A — **track-and-trace mechanism** (Finance (No. 7) Act, 2025, in force 1 Oct 2025). Empowers the Government to notify a **unique identification marking (digital stamp/mark)** for specified evasion-prone goods (e.g. tobacco, pan masala), with electronic record-keeping across the supply chain. Backed by the new penalties in #122B.

149–150 Compliance rating & information returns

- #149: a **GST compliance rating** for every registered person (to be operationalised).
- #150: obligation on specified persons (banks, registrars, etc.) to furnish **information returns**.

158A Consent-based sharing of information

Permits sharing of a taxpayer's GST data (returns, e-invoice, e-way bill details) with notified systems **with the taxpayer's consent** — the legal basis for account-aggregator-style data flows.

168A Power to extend time-limits

Inserted to allow extension of statutory time-limits in **force majeure** situations (the basis for the COVID-period extensions).

171 Anti-profiteering

LATEST AMENDMENT

Anti-profiteering — sunset. #171 requires that the benefit of a **rate reduction or ITC** be passed on by way of a commensurate price reduction. The function was moved from the NAA to the **Competition Commission of India (CCI)** and then to the **Principal Bench of the GSTAT**; the GST Council has notified that **no new anti-profiteering applications** will be entertained from **1 April 2025**.



164–167, 172–174 Rules, instructions, difficulties, repeal

- **#164:** power of Government to make **rules**; **#168:** power to issue **instructions** / **circulars**; **#172: removal of difficulties** orders (within 5 years of commencement); **#174: repeal & saving** of erstwhile laws.



SCHEDULES

The Three Key Schedules

Schedule I Supply without consideration

Activities treated as supply **even without consideration**:

- Permanent transfer/disposal of business assets where ITC was availed;
- Supplies between **related / distinct persons** in the course of business (gifts to an employee up to ₹50,000 per year are excluded);
- Principal–agent supplies of goods; and import of services from a related person / overseas establishment.

Schedule II Goods or services classifier

- Transfer of title in goods → **goods**; transfer of right to use → **services**.
- Treated as **services**: lease/letting of buildings, job work/treatment on another's goods, works contract, **renting of immovable property**, construction (before completion certificate), IPR (temporary), IT software, agreeing to refrain/tolerate an act, and supply of food/drink.
- Treated as **goods**: transfer of business assets and supply of goods by an unincorporated association to members.

Schedule III Neither goods nor services (negative list)

EXAM FOCUS

High-frequency exam item. Schedule III covers: (1) **employee-to-employer** services in the course of employment; (2) services by **courts/tribunals**; (3) functions/duties of MPs, MLAs, constitutional post-holders; (4) **funeral, burial, crematorium** services; (5) **sale of land** and (subject to Sch. II) sale of building; (6) **actionable claims other than specified actionable claims**; (7) high-seas / merchant-trade supplies outside India; (8) supply of warehoused goods before home-clearance and certain in-bond transfers; (9)–(10) **co-insurance premium apportionment & re-insurance commission** (inserted by Finance (No. 7) Act, 2025), subject to conditions.

FINAL REVISION — THE NUMBERS THAT REPEAT

- **Registration**: goods ₹40 L / services ₹20 L (special-category: ₹20 L / ₹10 L).
- **Composition**: ₹1.5 cr (goods/restaurant) at 1%/5%; services ₹50 L at 6%.
- **ITC claim & credit-note cut-off**: 30 November of next FY.



- **Interest:** 18% (delay) / 24% (excess ITC); refund delay 6% / 9%.
- **Demands:** #73 → 3 yrs; #74 → 5 yrs; #74A → 12 months (FY 2024-25+).
- **Appeal pre-deposit:** 10% (first appeal & Tribunal); arrest/prosecution threshold ₹5 cr.
- **Three-year bar:** returns under #37/#39/#44/#52 (portal-enforced 1 Oct 2025).

— *End of Brief Notes* —

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